Lal Chand Morani & Ors vs State Of Nct Of Delhi & Ors on 14 November, 2025

Author: Neena Bansal Krishna

Bench: Neena Bansal Krishna

$~50
* IN THE HIGH COURT OF DELHI AT NEW DELHI
\+ CRL.M.C. 8042/2025, CRL.M.A. 33640/2025 (stay)

LAL CHAND MORANI & ORS.
Through: Ms

versus

STATE OF NCT OF DELHI & ORS. .....Res
Through: Mr. Shoaib Haider, APP for th
Mr. Antriksh, Mr. Dhruv Kap
Aman Thakran, Mr. Satyam Pa
Advocates for victim.
CORAM:
HON'BLE MS. JUSTICE NEENA BANSAL KRISHNA
ORDER

% 14.11.2025 CRL.M.A. 33641/2025 (Exemption), CRL.M.A. 33642/2025 (Exemption)

1. Exemption allowed, subject to all just exceptions.

2. The Applications stand disposed of accordingly.

3. Petition under Section 482 of the Code of Criminal Procedure, 1973 (hereinafter referred to as 'Cr.PC') and/or Section 528 of the Bharatiya Nagarik Suraksha Sanhita, 2023 (hereinafter referred to as 'B.N.S.S.') has been filed on behalf of the Petitioners for quashing of the FIR No. 246/2025 dated 07.07.2025 for the offences under Section 420/406 and 120-B of the Indian Penal Code, 1860 (hereinafter referred to as 'IPC') and/or Section 318(4)/316(2) and 61(2) of the Bharatiya Nyaya Sanhita, 2023 (hereinafter This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12 referred to as 'BNS') registered at Police Station Janakpuri, District West and all the consequential proceedings arising therefrom.

4. The brief facts are that the Respondent No. 2, namely, Mr. Pitu Harchandrai Dadlani and the Respondent No. 3, Mr. Himanshu Dadlani, filed a Complaint under Section 200 read with Section 156(3) Cr.P.C. in regard to the criminal breach of trust, fraud and cheating with criminal conspiracy against the Petitioners, Mr. Lal Chand Morani, his wife, Smt. Reshma Morani and his brother, Mr. Jawahar Morani, all Directors of M/s Morani Motors Pvt. Ltd. and M/s Morani GEMS Private Limited, Jaipur.

5. Mr. Lal Chand Morani deceived and defrauded his parents of their hard-earned money. His father, Mr. Pitu Harchandrai Dadlani, aged about 80 years, is a retired public servant and his mother, Smt. Jaya Dadlani (since deceased) was cheated to the tune of Rs.1.35 Crores, which were paid by them in small tranches from January, 2014 to September, 2019, on the false assurance of sharing the partnership in their Companies. The money had been transferred to the accounts of the Petitioners, the details of which are stated in the Complaint.

6. It is explained in detail that the parents of the Complainant and Accused/Petitioner No. 1, Lal Chand Morani, Mr. Jawahar Morani, Ms. Reshma Morani, were well known to each other since the year 1988. Over the years, they got acquainted with them at various family functions. At these interactions, Mr. Lalchand Morani, who was then employed with Rajasthan University (now retired as a Professor from Accounts Department on 13.05.2021), projected himself and his family to be a successful entrepreneur running various businesses.

7. In the year 2014, Mr. Lal Chand Morani and his wife, Ms. Reshma This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12 Morani and his brother, Mr. Jawahar Morani, visited their Janak Puri house and boasted about having dealership of Hyundai cars and Hero Motorcycles at Jaipur as they were aware of the availability of retirement funds in their Bank Accounts. They tried to gain the confidence of the Complainant and his parents.

8. It was represented that they were going to expand the showroom and were looking for a funding of Rs.1.5 Crores upto the rate of 15 to 20% interest per annum. Accused Lal Chand Morani visited their house at Delhi in January, 2014 and asked for money. He dishonestly induced his parents to part with their hard-earned money. They all were unaware that it was a part of a conspiracy hatched by the accused persons.

9. Consequently, from the end of January, 2014, his father transferred various amounts from his, as well as, his wife's Account, to the Accused persons. The father even sold his only DDA LIG Flat, Hari Nagar, Delhi and transferred the entire proceeds of Rs.65 Lakhs to the Accused persons. In November, 2019, when the Complainant and his parents sought their return of the money, Lal Chand Morani informed that since they have diversified their businesses for land development constructions and property deals and because he was facing a financial crunch, he would sort out the matter soon.

10. This pacified his parents at the time as the Accused persons were like family friends. Even thereafter, the Accused persons kept on giving some excuse or the other. In December, 2019, when his parents called the Accused persons to enquire, they kept giving one excuse or the other.

11. Again, in January, 2020, when the parents met them in Jaipur, they learnt to the utter shock that the Accused persons were no longer having the Hyundai Car dealership and that they had cheated many peoples. The modus This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12 operandi of the Accused persons, was revealed to be to conspire amongst themselves and induce people to part with their monies and to siphon off the funds through their Company, to their other ventures especially of property dealing

12. It has been, however, reliably learnt from sources at Jaipur that they have deliberately indulged in overtrading and have duped many people like his parents and swindled away their hard-earned money. The Accused persons have cheated many persons including Mr. B.R. Alwani for Rs.80 Lakhs and the Case is pending in the Court of Law at Jaipur.

13. It was also claimed that several visits and efforts to contact the Petitioners/Accused persons, did not yield any result. Then COVID-19 Pandemic struck and the parents underwent lot of challenges as they were elderly senior citizens and had co-morbidities. The Complainant also suffered from health complications.

14. As the last-ditch effort, on the request of the parents, he made discreet enquiries and came to know that Lal Chand Morani had many pending litigations at Delhi and Jaipur and that there was also an Arbitration proceeding between the Accused Company Ms/ Morani Motors Pvt. Ltd. and Hero Motorcorp Ltd. at the PHD Chamber of Commerce and Industry, New Delhi.

15. The Complainant then confronted the Petitioners at the venue of the Arbitration proceedings, to enquire about the return of Rs.1,35,00,000/- but he turned hostile. The Complainant and his father again, when the Accused persons on 15.11.2022 at the residence in Jaipur, to persuade them to return the money, but to no avail. Ms. Jaya Dadlani, his mother ultimately died on 14.12.2022, due to brain haemorrhage.

This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12

16. Recently, upon retrieving financial details of Morani Motors Pvt. Ltd., it is found that according to the details of Annual Audit Report/Annual Return of the year ending 31.03.2019, the Petitioners were shown as owners of the following Companies- M/s Morani Motors Pvt. Ltd., M/s Morani Motors Pvt. Ltd. and M/s Morani GEMS Private Limited, all situated in Jaipur. Petitioner No. 3 M/s

Morani Motors Pvt. Ltd. is the Company of which the Petitioner No. 1 is the Authorised Representative.

17. Further, both father, Mr. P.H. Dadlani and mother, Ms. Jaya Dadlani of the Complainant, had been shown as shareholders in the Company from 2015-2019 in the Annual Returns filed by the Company Directors.

18. In this manner, the Complainant and his family members, have been defrauded of Rs.1,35,00,000/- and sought registration of FIR.

19. On the directions of the learned Metropolitan Magistrate in an Application under Section 156(3) CrPC., FIR No.246/2025 under Section 420/406/120B of the IPC, had been registered.

20. The Petitioners in their petition, have submitted that petitioners are known to each other since the year 1988 and they have family relations. Looking at the success and business growth of the Petitioners, they willingly offered to be investors and profits, as well as, losses of their Companies. After much appreciation by the Respondent No. 2 and his wife and on the trust and confidence built over a long relationship, the Petitioners got involved in the business transactions with the Respondent No. 2 and his wife not knowing their ill-intention and greed. The Respondent No.2 and his wife willingly invested the money in the Petitioners' business and it was not a loan extended to the Petitioners, as has been wrongly alleged by them. Pertinently, there is no Loan Agreement or any document to support the This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12 averments of the Complainant, in this regard.

21. It is further stated that it was orally agreed between the parties that the Petitioners would give share of profit, as and when it would occur or would be earned on the amounts so invested by the Respondent No. 2 and his wife, in the Company. It was further agreed orally that terms and conditions as followed in the usual course of business, would be followed by the parties. It was further agreed that the principal invested amount would be returned after the liquidation of the Petitioner Company, in accordance with the Rules and Regulations.

22. Pursuant to the Mutual Oral agreement, the Respondent No. 2 and his wife started investing money in the Petitioner Company and they started providing them the share of profit as and when earned. The Petitioners gave a total profit of Rs.70,66,605/- (cash deposit) in the Account of the Respondent No. 2 and his wife in HDFC Bank, Jaipur, from the year 2014- 2019. It is further clarified that out of this amount, Rs.47,17,905/- was deposited in the Account of the Respondent No. 2 and the amount of Rs.23,48,700/- in the Account of the wife of the Respondent No. 2. It is further narrated that out of this amount, Rs.47,17,905/- was deposited in the Account of the Respondent No. 2 and the amount of Rs.23,48,700/- in the Account of wife of the Respondent No. 2. Further, on 26.04.2021, an amount of Rs.2,00,000/- through NEFT and on 13.05.2021, a sum of Rs.2,00,000/- through RTGS, was transferred to the wife of the Respondent No. 2, as a return on the principal

invested amount.

23. A total amount of Rs.1 Crore 35 Lakhs was given by the Respondent No. 2 and his wife, during the period 2014 to 2019 as an investment out of their own free will and consent. The Petitioners returned a sum of This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12 Rs.8,00,000/- to the Respondent No. 2, during the lifetime of his wife. These transactions have been not disclosed by the Respondents, which shows that their mala fide and their fabricated story.

24. The Respondent Nos. 2 and 3 have instituted this Complaint Case No. 22653/2024, with the sole intent to harass the Petitioners and have raised a time barred claim in the Civil Suit No. 1109/2024 in regard to these transactions, which is pending before the Court of District Judge wherein material facts have been suppressed and also contradictory statements have been made. The Respondent No. 2 had suddenly filed the Complaint in the year 2024, by filing the civil Suit, as well as, the Criminal Complaint.

25. It is further asserted that the false story of the loan being given by the Respondent Nos. 2 and 3, is evident from the fact that they had received Rs.1,00,000/- as repayment, then the total liability would have been Rs.1,34,00,000/- and the interest was to be calculated from the year 2022 and not the year 2020. This fact in itself shows the falsity of their claim. In fact, there was no loan transaction ever between the parties.

26. Pertinently, the Petitioner No. 3 was earning profits till the year 2019 and therefore, was able to share the profits with the investors. Unfortunately, after COVID-19 Pandemic, the Petitioner No. 3 suffered huge losses and was unable to provide the share of profit to the investors. It is for this reason that the Respondent No. 2 and his wife, also got the share of profit till 2019.

27. It is further asserted that as per the Respondents, the last transaction took place in April, 2017 with the Petitioner No. 2 and in January, 2015 with the Petitioner No. 3. The Respondent Nos. 2 and 3 have slept for so many years and suddenly filed the Civil Suit and the Criminal Complaint in the This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12 year 2024.

28. It is further asserted that the Promissory Note, which the Respondent Nos. 2 and 3 are alleged to have been signed by the Petitioner No. 1, has been created by them to cause wrongful loss to the Petitioners. The complete fabricated story has been created with two imaginary dates. Furthermore, the Promissory Note does not contain the signatures of the Petitioner No. 2, which shows that it has been forged by the Respondent Nos. 2 and 3.

29. The quashing of the FIR is sought on the ground that the Respondents have tried to give a criminal colour to the civil dispute with the sole intention to harass the Petitioners and grab the hard-earned money of the Petitioners. From the contents of the impugned FIR, it is evident that no essential ingredients of the alleged offence have been fulfilled, to arraign the Petitioners as the Accused. The FIR revolves around a financial transaction and oral Agreement between the parties and the present FIR is an abuse of process of law.

30. Further, the disputes inter se the Parties, are in the realm of Civil and Commercial Law and there is no criminal offence disclosed from the Complaint. It has been filed with the sole intention of wrecking vengeance and settling personal score with the Petitioners.

31. Reliance is placed on State of Haryana vs. Bhajan Lal that the FIR has been lodged just to wreak vengeance on the Petitioners, with a malice/ motive to harass the Petitioners.

32. It is claimed that the Petitioners never had any intention of cheating the Petitioners and have given a total profit of Rs.70,66,605/- to the Respondent No. 2 and his wife.

This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12

33. Learned Prosecutor on behalf of the State, has submitted that this is a preliminary stage and the investigations are required to identify if there are other victims. Moreover, the learned Trial Court in its dated 07.07.2025 had noted that the State had further stated that because the limitation to challenge the Order under Section 156(3) Cr.P.C. dated 07.07.2025, has expired, the present Petition has been filed. Moreover, there were specific allegations that the Petitioners no longer had the Dealership since 2020. Furthermore, there were specific allegations that on 28.11.2020, the Petitioner No. 1 had executed a Promissory Note to repay a sum of Rs.1,35,00,000/- with interest, but the amount has not been repaid. It was thus, concluded that a cognizable offence was prima facie, disclosed from the Complaint.

Submission Heard and Record Perused.

34. The perusal of the record shows that a Criminal Complaint had been filed by the Respondents in which an Order under Section 156(3) Cr.P.C., was passed by the learned Metropolitan Magistrate directing the registration of FIR. Pertinently, the Order of Section 156(3) Cr.PC, has not been challenged by the Petitioners, who have in fact, joined the investigations.

35. The investigations are still on-going and are at the preliminary stage. There is no ground to quash the said FIR, at this stage without letting the Police to carry out the investigations on the disputed facts.

36. Furthermore, on specific query, the learned counsel for the Petitioners, have submitted that the present Petition is filed as there is an apprehension of arrest. In this regard, it may be observed that the Police is bound to follow the guidelines for arrest and to carry out the investigations. In any case, if there is any such apprehension, the Petitioners are at liberty to This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12 approach the learned Trial Court for Bail or protection, in accordance with law. This in itself cannot be a ground for challenging the FIR.

37. The FIR has only been registered on 07.07.2025, and sufficient time needs to be given to the Police, to investigate into the allegations made in the said FIR.

38. The Petition is hereby disposed of as being pre-mature with liberty to the parties to raise their contentions before the appropriate forum, in accordance with law.

39. The pending Application, if any, also stands disposed of.

NEENA BANSAL KRISHNA, J NOVEMBER 14, 2025/RS This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 21/11/2025 at 21:58:12